

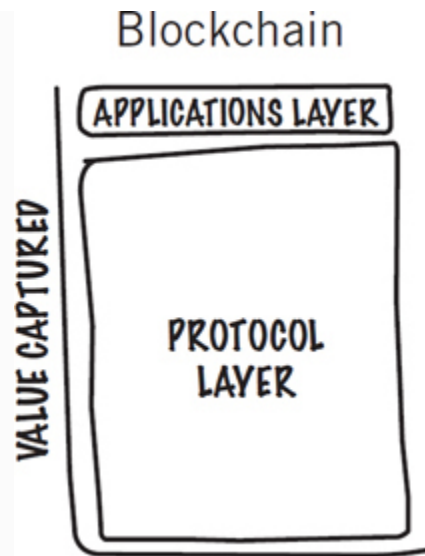


Figure 16.2 ■ Fat protocols and thin applications: how value is captured within blockchains

Source: www.usv.com/blog/fat-protocols

Interestingly, once these blockchain protocols are released, they take on lives of their own. While some are supported by foundations, like the Ethereum Foundation or Zcash Foundation, the protocols themselves are not companies. They don't have income statements, cash flows, or shareholders they report to. The creation of these foundations is intended to help the protocol by providing some level of structure and organization, but the protocol's value does not depend on the foundation. Furthermore, as open-source software projects, anyone with the proper merits can join the protocol development team. These protocols have no need for the capital markets because they create self-reinforcing economic ecosystems. The more people use the protocol, the more valuable the native assets within it become, drawing more people to use the protocol, creating a self-reinforcing positive